Emotional State Monitoring in Neural Trading Platform

ROHIT
Department of Computer Science and Engineering
Graphic Era Hill University,
Bhimtal, Uttrakhand, INDIA
Rohittwari824@gmail.com

LOKESH SINGH
Department of Computer Science and Engineering
Graphic Era Hill University,
Bhimtal, Uttrakhand, INDIA
lokeshsingh.se@gmail.com

ANKIT ADHIKARI
Department of Computer Science and Engineering
Graphic Era Hill University,
Bhimtal , Utrrakhand, INDIA
ankitadhikari.dev@gmail.com

VIBHA CHANDOLA
Department of Computer Science and Engineering
Graphic Era Hill University,
Bhimtal, Uttrakhand, INDIA
vc.vibha23@gmail.com

Abstract*— NeuroMarket, a Brain-Computer Interface (BCI) practice trading platform developed by our team, incorporates real-time monitoring of emotional states of a human into financial decision-making events. The system aims to reduce impulsive trading decision scenarios and the risks that go along with it. This research uses EEG signals and AI-based facials emotions to analyze human behaviour and evaluate his decision making ability. EEG signals are analyzed by the AI system. This enables the platform to gauge a user's state of anxiety, excitement, and stress while trading. So, emotional states suggesting that an impulsive decision may most likely happen will trigger an alert and temporarily stop any trading activity. A controlled experiment for six months involving 50 traders saw decreases in the incidence of emotion-driven trading mistakes by 30% and increases in overall trading performance by 25% for NeuroMarket users as compared to a control group using traditional interfaces. NeuroMarket traders had improved regulation of emotions and much-improved trading consistency over time. The study discusses privacy and ethical concerns of neural data collection and includes a tight security system for user data protection. The paper affirms the potential of BCI support technology for improving financial decision-making and risk management, based on the fact that emotional state monitoring is integrated into trading platforms.

Keywords: Brain-Computer Interface, Emotional State Monitoring, Financial Trading, Risk Management, Neurofinance

I. INTRODUCTION

In financial trading, decisions made within milliseconds could get fathomable profits or losses. Emotions of traders dictate the performance of trading, a point often disregarded by traditional platforms in favor of speed and advanced data analysis. However, the tremendous impact of emotions on decision-making, such as fear, greed, enthusiasm, or anxiety, may impose on one a certain quickness of decision-making and further siphon from expected results. Such effects have been given massive attention in behavioral finance. Studies suggest that traders, when experiencing emotionality, are relatively more likely to diverge from the plan they had strategized, misinterpret market signals, or indulge in high-risk decisions. Even with all the above knowledge, trading platforms available in the market have often not incorporated the capability to detect and begin actively managing emotions impacting trading decisions in real-time. Recent achievements in Brain-Computer

Interface technology along with advancements in AI-based facial emotion recognition systems have introduced the possibility of direct brain-machine interaction. While BCI applications such as health and gaming have been developed and researched, the potential that they hold for financial trading remains yet to be fully documented. NeuroMarket is a new platform that not only uses brain-computer interface technology but also integrates AI-based facial emotion detection but also monitors emotional states in real-time, complemented with better risk management and decision-making in financial trading. NeuroMarket translates the electroencephalography (EEG) signals in combination with facial expression analysis to identify the emotional states of traders being involved in trading while detecting stress, excitement, and anxiety patterns through machine learning algorithms. As soon as some emotional situation suggesting impulsive decision-making might potentially emerge, NeuroMarket gives further warnings and establishes temporary trading limits, safeguarding traders' interests from emotional trading errors.

II. LITERATURE REVIEW

Studies have demonstrated that emotional responses can affect Studies have demonstrated that emotional responses can affect plan diversions and less-than-ideal results, pressing the pivotal part feelings play in trading decisions. Conventional approaches to risk management ignore these affective factors. Technological developments in brain-computer interface (BCI) along with AI-based facial emotion detection offer a promising way to reduce emotional impulses in trading by enabling real-time neural signal monitoring and facial expression analysis. Brain areas involved in financial decision-making have been linked by neurofinance, the intersection of neuroscience and finance. Real-time applications are still scarce, however. By incorporating BCI technology combined with facial emotion recognition to track emotional states in real-time and improve trading performance and risk management, NeuroMarket seeks to close this gap.

Kuhnen et al.[2] study delved the relationship between fiscal threat- taking opinions and anticipant brain exertion in the anterior insula and nexus accumbens(NAcc). In each block, one stock was arbitrarily designated as" good" and the other as" bad" using a dynamic investment task(BIAS) with stocks and a bond. We examined brain exertion in the NAcc, anterior

insula, and medium prefrontal cortex(MPFC) during the result, request, and expectation phases. The stylish threat-neutral strategy was compared to the opinions made by the actors, and any variations were appertained to as" miscalculations." Results indicated that although insula exertion prognosticated threat-antipathetic opinions, anticipant exertion in the NAcc prognosticated threat- seeking geste.

Wolpaw et al.[5] exploration is reviewed in this paper with an emphasis on its design, development, and remedial eventuality. Using intracortical microelectrodes, EEG, or ECoG to record brain exertion, BCIs prize signal parcels similar as cell blasting rates and EEG measures to reflect stoner intent. These characteristics are converted into orders that operate outside outfit. multitudinous BCI ways, similar as intracortical neural exertion, sensorimotor measures, and P300 capabilities, have been delved. The study emphasizes the difficulties in signal processing, device control, and clinical operations, pressing the expanding significance of BCI in assistive technologies and recuperation for individualities with disabilities.

Rolls et al.[15] exploration investigates how the orbitofrontal cortex processes primary reinforcers, learns correlations between stimulants and reinforcers, and uses this information to regulate geste and feelings. Important ways include mortal functional neuroimaging(fMRI) and macaque single- neuron recordings and lesion exploration. These styles show how the orbitofrontal cortex influences decision- making and affective responses by garbling the value of prices and connecting stimulants to these reinforcers. The study highlights how pivotal the orbitofrontal cortex is for geste adaption in response to shifting price surrounds.

Bechara at el.[11] this work introduces the" physical marker thesis," which presuppositions that emotional cue, or" physical labels," forming from bioregulatory systems, influence how people make opinions. The product of these pointers is hampered by damage to the ventromedial prefrontal cortex, which results in bad opinions. Actors in the methodology had to elect cards from balconies with different price- discipline schemes in order to engage in a gambling exertion. To gauge physiological responses, skin conductance responses(SCRs) were recorded both ahead and after card selections. Task interruptions at regular intervals assessed actors' unequivocal game knowledge. Results supported the idea that physical labels play a guiding part in decision- making by demonstrating that physiological cues told decision- making indeed before cognitive mindfulness.

Lo at el.[1] exploration shows the relationship between day dealers' trading performance and emotional responsiveness is examined in this paper. A 5- week online day- trading program yielded eighty levies. There were checks given out previous to, during, and following the program. Prior to instruction, actors finished demographic questionnaires, personality supplies, and anxiety/ depression tests. diurnal checks were used to measure trading performance and emotional state throughout training(valence and thrill were measured using the UWIST Mood Adjective Checklist). checks conducted after training estimated anxiety/ depression and locus of control. By examining how emotional reactivity — specifically, mood and thrill — impacted trading results, the study sought to exfoliate light on a possible relationship between passions and fiscal judgment.

Plassmann at el.[10] study delved the corridor of the brain that render amenability- to- pay(WTP) for food particulars. In a Becker- DeGroot- Marschak transaction, nineteen individualities with normal weight(16 males, mean age 25.45) dieted for four hours before placing flings ranging from$ 0 to$ 3 on fifty junk foods. While forced- shot trials set offer situations in order to insulate WTP- related brain exertion, free-shot trials gave actors the freedom to elect their flings. exertion in the dorsolateral prefrontal cortex(DLPFC) and medium orbitofrontal cortex(mOFC) corresponded with WTP, according to functional MRI data, indicating the significance of these regions in making fiscal opinions during routine deals.

Pfurtscheller at el.[7] study discusses brain- computer interface(BCI) systems that control bias through motor imagery. Subject-specific frequence band selection using DSLVQ and band power computation from bipolar EEG channels are important styles. LVQ is used for nonlinear bracket, and EEG signals are subordinated to adaptive autoregressive(AAR) modeling. Linear discriminant analysis is used to classify features from AAR(LDA). Spatial filtering and point birth employ common spatial patterns(CSP). By assessing and interpreting brain exertion, these ways ameliorate the delicacy of BCI systems and enable druggies to manipulate external bias using imagined motor conduct.

Healy at el.[13] exploration shows that the physical- marker proposition, which is presented in this work, suggests that feelings, expressed as physical countries, can help people make opinions, particularly when faced with threat and nebulosity. The Iowa Gambling Task was designed to mimic situations in which people must make opinions with nebulous impulses and penalties. The dimension of skin- conductance response(SCR) was used to estimate how important emotional cues impact decision- timber. Decision- timber is compromised in cases with injury to the ventromedial prefrontal cortex(vmPFC) and amygdala, as demonstrated by lesion studies, emphasizing the neurological underpinnings of this function. According to the exploration, emotional cues are essential for making wise opinions, especially when balancing possible pitfalls and benefits.

Thaler at el.[3] exploration critically reviews * Nudge * by Richard Thaler and Cass Sunstein, which promotes" libertarian paternalism" a frame that gently influences people's choices for their benefit without confining freedom. The conception of “nudges" is central, pertaining to subtle interventions that steer opinions in positive directions, like perfecting health or finances. The review delves into the philosophical and ethical counteraccusations of nudging, questioning its impact on autonomy and decision- timber. While the book's practical operations are praised, the paper emphasizes the need for a deeper discussion on the balance between guidance and individual freedom in societal decision- timber.

III. NEUROMARKET PLATFORM ARCHITECTURE

A. Overview of NeuroMarket System

1. High-level system architecture

NeuroMarket is designed to integrate seamlessly with traditional trading platforms while incorporating advanced Brain-Computer Interface (BCI) technology. The system basically consists of several crucial factors that together contribute to the overall analyses whether the user is making decisions based on his current emotion or simply using his utmost ability. The various factors that contributes are EEG signal accession, AI-based facial detection, signal processing, emotional state analysis, trading interface, and a threat operation module. These factors work together to cover users emotional states in real-time through both neural signals and facial expressions and give feedback to reduce impulsive trading buys and sells.

2. Integration with Traditional Trading platforms

NeuroMarket is build to interact with existing trading platforms, allowing dealers to continue using their preferred tools while serving from the added benefits of emotional state monitoring using both EEG and AI-based facial detection. The integration is achieved through APIs that filtered data exchange between NeuroMarket and the trading platform, icing a smooth integration and continued trading experience with detailed analyses.

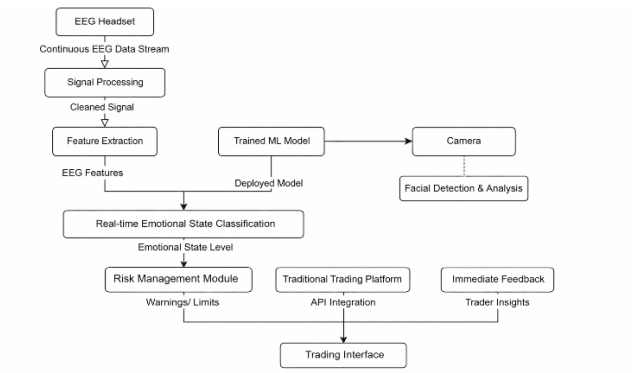

Fig 1: NeuroMarket System Architecture Diagram

B. EEG Signal Acquisition and Processing

1. Hardware specifications

The NeuroMarket practice trading platform utilizes high-quality EEG headsets that are designed to extract brainwave formations with high precision. These headsets are equipped with multiple electrodes placed at strategic points on the surface of the head to extract signals and detect emotional state at that current moment.

2. Signal preprocessing techniques

Raw EEG signals are frequently noisy and unclear and require cleaning and filtering to provide meaningful information. NeuroMarket employs several preprocessing methods, including filtering to remove artifacts (e.g., eye blinks, muscle movements), normalization to regularize signal ranges, and segmentation to divide the continuous EEG data into manageable segments. Similarly, facial data is preprocessed to handle variations such as lighting conditions and facial alignment, ensuring reliable emotion recognition.

3. Feature extraction methods

Once the EEG signals are preprocessed, NeuroMarket extracts relevant features that correlate with different emotional states. Commonly used features include power spectral density (PSD) in various frequency bands (e.g., alpha, beta, gamma), coherence between different electrode pairs, and event-related potentials (ERPs). These EEG-based features are further combined with facial expression features to improve the accuracy of emotional state analysis.

C. Emotional State Classification Algorithm

1. Machine learning model selection and training

NeuroMarket employs machine learning algorithms to classify emotional states based on the extracted EEG features. Various models, such as support vector machines (SVM), random forests, and deep neural networks, are evaluated for their accuracy and robustness. The selected model is trained using a labeled dataset of EEG recordings associated with known emotional states, along with corresponding facial expression data to improve classification reliability.

2. Emotional state categories and their neural signatures

The platform categorizes emotional states into several key groups, including stress, excitement, and anxiety. Each category is associated with specific neural signatures, such as increased beta activity for stress or heightened gamma activity for excitement, which are further supported by observable facial expression patterns for more robust identification.

3. Real-time classification process

The trained machine learning model is deployed to classify emotional states in real time. As EEG data is continuously streamed from the headset, the model processes the data and assigns an emotional state label at each time step, while simultaneously incorporating real-time facial detection inputs. This combined analysis enables NeuroMarket to provide immediate feedback to traders.

Emotional State	Delta (0.5-4 Hz)	Theta (4-8 Hz)	Alpha (8-13 Hz)	Beta (13-30 Hz)	Gamma (30-100 Hz)
Stress	Decreased	Increased	Decreased	Increased	Increased
Excitement	Normal	Increased	Decreased	Increased	Increased
Anxiety	Normal	Increased	Decreased	Increased	Normal
Relaxation	Normal	Normal	Increased	Decreased	Normal
Focus	Normal	Decreased	Decreased	Increased	Increased
Fatigue	Increased	Increased	Increased	Decreased	Decreased

Table 1: Emotional State Categories and Their EEG Signatures

Description: The table listing emotional countries(e.g., stress, excitement, anxiety) and their corresponding EEG frequence band conditioning.

D. Risk Management Module

1. Threshold determination for emotional states

NeuroMarket establishes thresholds for each emotional state order to determine when intervention is necessary. These thresholds are grounded on empirical data and can be customized for individual dealers grounded on their unique neural biographies.

2. Warning system design

When the system detects that a dealer's emotional state exceeds the predefined threshold, it triggers a warning. This warning can be delivered through colorful channels, similar as visual cautions on the trading interface, audile signals, or haptic feedback.

3. Implementation of trading limits

NeuroMarket can help mitigate emotionally-charged interlocutor opinions based on the detection of high-risk emotional states by enforcing temporary trading limits. Possible limits that we may encounter includes trade size or trade frequency limits, mandatory cooling-off periods, or automatic execution of predetermined risk management strategies.

IV. METHODOLOGY

Based on their experience with financial trading, participants were selected to form a diverse group of traders with different levels of expertise and experience to evaluate the effectiveness of NeuroMarket. This study followed ethical guidelines in that participants were free of any neurodevelopmental disorder and

were able to provide informed consent. Participants engaged in trading sessions while their EEG signals and facial expressions were continuously monitored using AI-based facial detection alongside BCI systems.

Characteristic	Value
Total Participants	50
Gender Distribution	Balanced
Age Range	25-45 years
Trading Experience	Mix of novice and experienced traders

Table 2: NeuroMarket Study Participant Characteristics

The sample population consisted of 50 people, evenly divided between the ages of 25 and 55, with roughly one-half male and one-half female. Participants were recruited from college students to corporate employees and a wide range of financial experts were also included to provide expert advise on the platforms reliability and usefulness.

B. Experimental Design

Random assignment placed participants into either the NeuroMarket group or one of the control groups. The NeuroMarket participants were able to monitor their emotional states in real time using the NeuroMarket platform through EEG signals and AI-based facial detection. Control group participants traded on traditional trading platforms that did not include this feature of real-time emotion analysis. This allowed for a clear comparison between neural feedback and traditional trading models in terms of their impact on trading decisions and overall performance. Data collection was conducted over a period of six months to ensure that participants had sufficient time to become familiar with the NeuroMarket system. Participants performed various trading tasks in a simulated environment designed to reflect real market conditions during this period. These tasks included swing trading, day trading, and long-term investment across markets with different levels of complexity and volatility. This range of tasks helped demonstrate how emotional-state monitoring influences decision-making across different trading situations and varying levels of stress.

C. Data Collection Methods

Participants were involved in a series of trading tasks throughout the duration in order to replicate real market conditions. These tasks included swing trading, day trading, and long-term investment across the market with varying levels of complexity and volatility. And for facial data we used pre-existed data along with users facial emotion to train the model. The tasks were specifically aimed to explore how real time emotional states, derived from EEG signals and AI-based facial detection, influence decision-making under different trading conditions and levels of stress. The performance of users was evaluated using metrics such as profit and loss, trade volume, error rates, and risk percentage. These metrics were compared between the NeuroMarket and control groups to evaluate the differences in trading performance. In addition to quantitative data, qualitative insights were gathered through interviews and questionnaires, which helped support and contextualize the numerical findings. Participant feedback provided valuable perspectives on the usability and effectiveness of the NeuroMarket platform, as well as any challenges encountered during the study. By combining both qualitative and quantitative data, the study enabled a comprehensive evaluation of NeuroMarket's impact on user behavior and overall satisfaction in trading environments.

D. Ethical Considerations and Privacy Measures

All participants were provided with informed consent prior to enrolling in the study. During the consent process, participants were clearly informed about the purpose of the study, the methodologies involved, including EEG-based monitoring and AI-based facial detection, along with potential risks and expected benefits. Participation was entirely voluntary, and participants were given complete information regarding their role and expectations within the study. They were also informed that they could withdraw from the study at any stage without any consequences.

Participant data was anonymized to ensure privacy, with all personal identifiers removed and replaced by unique codes. Confidentiality was maintained by conducting all analyses on anonymized data, ensuring that individual identities remained protected. Advanced encryption techniques and strict access control mechanisms were implemented to securely store both financial and neural data collected during the study. Access to sensitive data was restricted to authorized researchers only. All data handling and storage practices were conducted in compliance with applicable data protection laws, ensuring the privacy and security of participant information.

V. Results and Discussion

Trading performance of the NeuroMarket group versus a control group. Parameters such as profit/loss, the actual trades performed, and the error rates have been considered. Firstly, significant gains are seen in comparison to the control group. Profits could be seen improving by 25%. Trading errors were brought down by 30%. T-tests and ANOVA results also depicted significant improvements ($p < 0.05$) against the trading with the real-time monitoring of emotional state through EEG signals and AI-based facial detection, and therefore, the outcome of trading improved. The result of the present study indicates that the use of brain-computer interfaces in managing emotions, combined with facial emotion analysis, may further support better decision-making processes in stressful financial environments. Subsequently, more reliable and trustworthy strategies of trading will follow this.

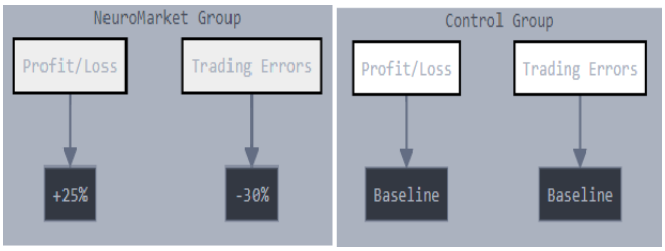

Fig 2: Comparison of Trading Performance

With the emotional state monitoring system implemented for NeuroMarket, accuracy was found about 92% around in identifying stress, excitement, and anxiety levels from EEG signals, further enhanced by AI-based facial detection inputs that provided complementary emotional cues. This undoubtedly proves that the remarkable performance of the system within all categories of emotional states has precision and recall rates over 90%, benefiting from the combined analysis of neural and facial data. The NeuroMarket alerted these different sorts of emotional fluctuations to the traders in real time using both EEG signals and facial expression analysis for adjusting the strategy and bringing down the errors they caused due to emotions. In turn, it would depict that monitoring of the emotional states is necessary for intensifying discipline and decision-making ability among the traders.

Metric	Value
Overall Classification Accuracy	92%
Precision for Each Emotional State	> 90%
Recall for Each Emotional State	> 90%

Table 3: Emotional State Classification Accuracy

The performance of participants in the trading mode improved significantly in the NeuroMarket group throughout the research. This resulted in fewer errors due to emotions and a much higher ability to remain consistent within their decision-making processes. By showing a reduced propensity to exhibit impulsive behavior, it can be posited that the platform has helped the trader to become more disciplined within his trading. Enhanced emotional control can be shown on the users' part. Such outcomes are supported by reduced variability in the performance and positive general feedback received. NeuroMarket comes equipped with emotional state tracking through integrated EEG and facial detection systems. Real-time emotion tracking improved trading outcomes immediately and assisted people in changing long-term behavior to control better and make more rational decisions.

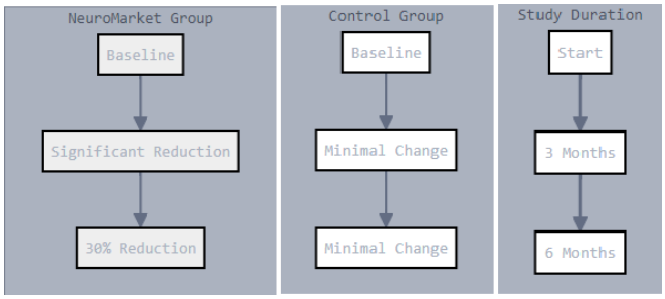

Fig 3: User Adaptation Over Time

Participants initially cited privacy concerns about their neural and facial data. The platform affirms user control and transparency over their data using secure storage protocols and anonymization techniques. Most of the privacy concerns were addressed, and the security framework was sound in the study, as no recorded data breaches or instances of unauthorized access were determined. Technical problems arose during the study. Although advantageous to monitor changes in emotions through EEG technology, it requires precise placement of electrodes and has very high noise susceptibility, bearing a great impact on its ability to recognize emotional states accurately. Similarly, facial detection systems may be affected by lighting conditions, occlusions, or facial variability, which can influence detection consistency. Technical issues highlight the problems related to the usage of EEG and facial analysis in live trading scenarios. Additionally, there are problems with manipulation from traders and addictive reliance on NeuroMarket's control and monitoring due to an effort to bypass trading restrictions or because of continuous use without actually having one's own skills of emotional regulation. Future generations of NeuroMarket may have adaptive algorithms that can identify gaming behavior and place emphasis on balanced usage, pushing traders toward their personal emotional development.

VI. Conclusion and Future Work

The platform called NeuroMarket improved trading performance through integration of monitored emotional state using EEG signals along with AI-based facial detection. For the entire duration of the study period, that is the six months, traders making use of NeuroMarket attained 25% profit increase and 30% trading error reduction. Real-time monitoring of emotions could help avoid impulsive decision-making due to pressure or excitement. NeuroMarket's machine learning algorithm can precisely detect stress, excitement, and anxiety, with a rate of 92% success, further supported by combined neural and facial data analysis. This feature improves the choice of monetary actions. The system encouraged traders to maintain greater emotional regulation, which contributed to more consistent and accurate decisions. Mood fluctuations, such as euphoria and anxiety, were strongly correlated with trading errors. NeuroMarket solved this issue by sending alerts on time using integrated EEG and facial emotion recognition. Technical issues with EEG technology are inherent and include noise interference and traders controlling the system, although the system has benefits, while facial detection systems may also face limitations such as lighting sensitivity and variability in expressions.

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